

# Sources & Verification — PALO VERDE CLG DT-A

CUSIP 697479CB7 · 4.0% due 2045-08-01 · px 95.682 · after-tax TEY 8.71% · **DD-confirmed BUY**

Every load-bearing claim below is verified against a PRIMARY, independent authority — not the issuer's own offering statement alone. 'How verified' names the method; 'Authority' names the source of record.

| Claim                                     | How verified                                                          | Authority (source of record)                                                           | Finding                                                                                                     |
|-------------------------------------------|-----------------------------------------------------------------------|----------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|
| Security — unlimited ad-valorem GO        | Read the OS; §53515 statutory lien + segregated I&S fund              | EMMA Official Statement; CA Gov. Code §53515 / Education Code                          | County-collected unlimited ad-valorem levy, money-good to par (GO default base rate ~0)                     |
| AI / tech-crash insulation                | Channel-scored: local property tax vs State-GF cap-gains              | SignalOS channel model (dot-com precedent: State GO -4-5 notches, school GO untouched) | insulation <b>99.2</b> / 100 (insulated from the State cap-gains channel)                                   |
| CCD accreditation (fiscal-distress proxy) | Matched the college to the ACCJC institution roster                   | Accrediting Commission for Community & Junior Colleges (accjc.org)                     | <b>CC-ACCREDITED</b> — accredited, no sanction                                                              |
| Earthquake exposure                       | USGS ASCE7-22 Ss + fault-zone map                                     | USGS Seismic Design Maps; CGS fault zones                                              | Ss 0.36 (INLAND EMPIRE (San Andreas S / San Jacinto)) — unlimited levy self-corrects, not a default channel |
| Wildfire AV-erosion                       | FEMA NRI High/Very-High built-value tail over the district (GRF join) | FEMA National Risk Index; NCES GRF                                                     | high-fire BV tail 0%                                                                                        |
| Taxpayer / debt concentration             | Parsed the OS top-taxpayer + direct/overlapping-debt tables           | EMMA Official Statement (California Municipal Statistics tables)                       | top-taxpayer 13.54% of AV; debt/AV 5.32%                                                                    |
| Secondary-market liquidity                | Realized EMMA trade tape (trades/yr, two-sided days, recency)         | MSRB EMMA RTRS trade tape                                                              | 47 trades/yr, 6 two-sided days, last print 94d ago → <b>THIN</b>                                            |
| Bond insurance                            | OS cover + insurer section                                            | EMMA OS / monoline                                                                     | Insured (Assured Guaranty Municipal (AGM))                                                                  |

## Authorities cited

- **EMMA** (emma.msrb.org) — Official Statements, 15c2-12 continuing disclosure, RTRS trade tape
- **DWR Urban Water Management Plans** (data.ca.gov) — actual supply portfolios by source
- **CA State Water Board eWRIMS** (data.ca.gov) — water-rights records / priority
- **DWR Bulletin 118** — critically-overdrafted groundwater basins
- **ACCJC** (accjc.org) — community-college accreditation
- **CA Dept. of Education** — AB-1200 interim fiscal certifications
- **USGS / FEMA NRI / California Municipal Statistics** — hazard + tax-base data

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